how such dubious schemes were allowed to not just operate, but even flourish, on its regulatory watch. I was not surprised by being put in the dock as the Reserve Bank is quite used to being the default defendant for any irregularity or malpractice in the financial sector, no matter where the lapse lay and who was responsible. We did a quick check and found that none of the companies of the Saradha Group were registered with the Reserve Bank, nor indeed did the advertised activities of these companies require them to register with the Reserve Bank.

It would, of course, have been callous on the part of the Reserve Bank to wash its hands off with the argument that the activities of the Saradha Group fell outside its regulatory ambit when tens of thousands of poor households had lost their financial lifeline. I was very sensitive to the fact that as a public policy institution, the Reserve Bank has a larger responsibility, extending beyond the letter of its regulatory remit, of protecting the public from dubious and fraudulent schemes by spreading investor awareness and by working with other regulators and state governments to tighten the policing of illegal activities.

I do not want to give the impression that the Reserve Bank woke up only after the Saradha group imploded. For years, indeed even before I came in as the governor, the Reserve Bank has been urging state governments to tighten laws to protect depositors, enhance policing of fraudulent schemes, prosecute some of the fraudsters and get stiff punishments for them so as to deter the mushrooming of such schemes. In fact, this would be a standard item on my checklist whenever I met the chief minister of a state.

When we were in Kolkata for the Reserve Bank's board meeting in December 2012, in the media interaction that followed, I was asked about the alarming increase in the incidence of pyramid schemes in West Bengal and what the Reserve Bank was doing about it. Incidentally, this was just a few months before Saradha exploded. I explained how such schemes operate below the regulatory radar, and took the opportunity to urge the state government to increase its vigil and take suo moto action against companies indulging in fraud and financial malpractices.